

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS

FOR THE 03 MONTHS PERIOD ENDED JUNE 30, 2024

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30 JUNE 2024

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the 03 months period ended 30 June	COMPANY AND INVESTEE		COMPANY	
	2024	2023	2024	2023
	Rs.000	Rs.000	Rs.000	Rs.000
Revenue	3,869,903	3,326,740	3,869,903	3,326,740
Cost of sales	(2,988,711)	(2,563,200)	(2,988,711)	(2,563,200)
Gross profit	881,192	763,541	881,192	763,541
Other income	1,396	16,183	1,396	16,183
Change in fair value of investment property	-	-	-	-
Distribution expenses	(180,244)	(164,094)	(180,244)	(164,094)
Administrative expenses	(98,746)	(110,927)	(98,746)	(110,927)
Profit from operations	603,598	504,702	603,598	504,702
Finance income	174,649	130,217	174,649	130,217
Finance expenses	(2,979)	(191,326)	(2,979)	(191,326)
Net finance income	171,670	(61,109)	171,670	(61,109)
Share of loss on equity accounted investee, net of tax	(240)	(639)	-	-
Profit before tax	775,028	442,954	775,268	443,593
Income tax expense	(190,798)	(149,875)	(190,798)	(149,875)
Profit for the period	584,231	293,079	584,471	293,718
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income for the period	584,231	293,079	584,471	293,718
Earnings per share -Rs.	26.80	13.44	26.81	13.47
Market value per share				
Highest price-Rs.			347.75	285.00
Lowest price-Rs.			277.00	231.00
Last traded price-Rs.			304.75	280.00
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 30 June	As at 31 March	As at 30 June	As at 31 March
	2024 Rs.000	2024 Rs.000	2024 Rs.000	2024 Rs.000
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,521,828	1,505,279	1,521,828	1,505,279
Investment property	750,000	750,000	750,000	750,000
Right-of-use assets	1,116	1,339	1,116	1,339
Investment in equity accounted investee	79,900	80,139	51,200	51,200
	2,352,844	2,336,758	2,324,145	2,307,819
CURRENT ASSETS				
Inventories	3,480,380	3,254,800	3,480,380	3,254,800
Trade and other receivables	1,613,105	1,052,677	1,613,105	1,052,677
Amount due from related companies	219,889	301,411	219,889	301,411
Value added tax recoverable	958,274	877,797	958,274	877,797
Deposits and prepayments	25,764	23,818	25,764	23,818
Financial assets measured at FVTPL	1,524,746	987,261	1,524,746	987,261
Investment in fixed deposits	3,843,800	3,914,156	3,843,800	3,914,156
Cash and cash equivalents	340,543	1,368,192	340,543	1,368,192
	12,006,503	11,780,113	12,006,503	11,780,113
TOTAL ASSETS	14,359,347	14,116,871	14,330,647	14,087,931
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000	218,000	218,000	218,000
Capital reserves	823,459	823,459	747,227	747,227
General reserves	431,136	431,136	431,136	431,136
Retained earnings	10,284,002	9,699,771	10,331,535	9,747,064
	11,756,597	11,172,367	11,727,898	11,143,427
NON-CURRENT LIABILITIES				
Employee benefits	176,827	182,332	176,827	182,332
Deferred taxation	238,046	238,046	238,046	238,046
Interest bearing borrowings	33,238	36,170	33,238	36,170
	448,111	456,549	448,111	456,549
CURRENT LIABILITIES				
Trade and other payables	638,356	818,667	638,356	818,667
Amount due to related companies	524,246	713,305	524,246	713,305
Current tax payables	831,076	893,394	831,076	893,394
Unclaimed dividends	14,722	14,722	14,722	14,722
Interest bearing borrowings	11,826	47,826	11,826	47,826
Bank overdrafts	134,413	42	134,413	42
	2,154,638	2,487,955	2,154,638	2,487,955
TOTAL LIABILITIES	2,602,749	2,944,504	2,602,749	2,944,504
TOTAL EQUITY AND LIABILITIES	14,359,347	14,116,871	14,330,647	14,087,931
Net asset per share (Rs.)	539.29	512.49	537.98	511.17

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd.)

Ms. Hemamala Karunasekara
Chief Financial Officer

(Sgd.)

U. G. Madanayake
Chairman

(Sgd.)

Suren Madanayake
Deputy Chairman

August 13, 2024
Colombo

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30 JUNE 2024

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2023	218,000	567,803	431,136	8,117,753	9,334,692
Profit for the period				293,079	293,079
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	293,079	293,079
Transactions with owners of the Company					
Interim dividend	-	-	-	-	-
Balance as at 30 June 2023	218,000	567,803	431,136	8,410,832	9,627,771
Balance as at 1 April 2024	218,000	823,459	431,136	9,699,771	11,172,367
Profit for the period	-	-	-	584,231	584,231
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	584,231	584,231
Transactions with owners of the Company					
Interim dividend	-	-	-	-	-
Balance as at 30 June 2024	218,000	823,459	431,136	10,284,002	11,756,597

COMPANY

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2023	218,000	497,932	431,136	8,167,330	9,314,398
Profit for the period				293,718	293,718
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	293,718	293,718
Transactions with owners of the Company					
Interim dividend	-	-	-	-	-
Balance as at 30 June 2023	218,000	497,932	431,136	8,461,048	9,608,117
Balance as at 1 April 2024	218,000	747,227	431,136	9,747,064	11,143,427
Profit for the period	-	-	-	584,471	584,471
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	584,471	584,471
Transactions with owners of the Company					
Interim dividend	-	-	-	-	-
Balance as at 30 June 2024	218,000	747,227	431,136	10,331,535	11,727,898

STATEMENT OF CASH FLOWS

For the 03 months period ended 30 June	COMPANY & INVESTEE		COMPANY	
	2024 Rs.000	2023 Rs.000	2024 Rs.000	2023 Rs.000
Cash flow from operating activities				
Profit before tax	775,028	442,954	775,268	443,593
Adjustments for:				
Share of loss/(profit) from equity accounted investee (net of tax)	240	639	-	-
Interest income	(85,158)	(130,217)	(85,158)	(130,217)
Interest expense	2,979	5,323	2,979	5,323
Depreciation of property, plant and equipment	22,754	22,594	22,754	22,594
Loss/(gain) on financial assets measured at FVTPL	(37,485)	-	(37,485)	-
Amortization of right-of-use assets	223	223	223	223
Provision charged/(reversal) for obsolete and slow moving inventories	(6,636)	9,515	(6,636)	9,515
Unrealized exchange loss/(gain) on investment in fixed deposits	(44,645)	92,356	(44,645)	92,356
Loss/(profit) on disposal of property, plant and equipment	-	(17)	-	(17)
Provision for employee benefits	8,693	8,045	8,693	8,045
Operating profit before working capital changes	635,993	451,415	635,993	451,415
Changes in working capital				
Decrease/(increase) in inventories	(218,944)	563,551	(218,944)	563,551
Decrease/(increase) in trade and other receivables	(560,428)	(732,440)	(560,428)	(732,440)
Decrease/(increase) in amount due from related companies	31,460	300,423	31,460	300,423
Decrease/(increase) in deposits and prepayments and value added tax recoverable	(82,423)	28,308	(82,423)	28,308
Decrease in trade and other payables	(180,310)	(63,353)	(180,310)	(63,353)
Decrease in amount due to related parties	(189,060)	(42,729)	(189,060)	(42,729)
Cash generated from/(used in) operations	(563,711)	505,175	(563,711)	505,175
Gratuity paid	(14,199)	(2,350)	(14,199)	(2,350)
Current tax paid	(253,116)	(266,486)	(253,116)	(266,486)
Interest paid	(2,979)	(5,323)	(2,979)	(5,323)
Net cash generated from/(used in) operating activities	(834,005)	231,016	(834,005)	231,016
Cash flow from investing activities				
Short term loans repaid by related parties	50,062	-	50,062	-
Proceeds from disposal of property, plant and equipment	-	17	-	17
Acquisition of property, plant and equipment	(39,303)	(5,746)	(39,303)	(5,746)
Investment in Unit Trust	(500,000)	-	(500,000)	-
Investment in fixed deposits	115,000	(380,042)	115,000	(380,042)
Interest received	85,158	130,217	85,158	130,217
Net cash generated from/(used in) investing activities	(289,083)	(255,553)	(289,083)	(255,553)
Cash flow from financing activities				
Lease payments	(273)	(221)	(273)	(221)
Loans obtained during the period	-	-	-	-
Loans repayments during the period	(38,660)	(38,660)	(38,660)	(38,660)
Net Cash generated from/(used in) financing activities	(38,932)	(38,881)	(38,932)	(38,881)
Net increase/(decrease) in cash and cash equivalents	(1,162,020)	(63,418)	(1,162,020)	(63,418)
Cash and cash equivalents at beginning of the period	1,368,150	1,290,936	1,368,150	1,290,936
Cash and cash equivalents at the end of the period	206,130	1,227,518	206,130	1,227,518

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31st March 2024 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- The contingent liability as at 30 June 2024 on guarantees given to third parties amounted to Rs.89,441,09/-.
- Net finance income/(expense) includes the exchange gains/(losses) as follows,

COMPANY/COMPANY AND INVESEE				
	Period ended 30 June		Quarter ended 30 June	
	2024	2023	2024	2023
	Rs.000	Rs.000	Rs.000	Rs.000
Exchange gain/(loss)	52,006	(186,003)	52,006	(186,003)

- The Board of Directors declared an Interim Dividend of Rs.10/- per share for the year ended 31 March 2024 amounting to Rs. 218Mn. on July 23, 2024 which will be paid on 21 August 2024.
- Mr. Mahinda Saranapala-Managing Director of the Company resigned with effect from 30 April 2024 and Dr. Anil Munasinghe was appointed as the Chief Executive Officer of the Company with effect from 01 April 2024.
Mr. Yudhishtan Kanagasabai was appointed as a Director of the Company with effect from 23 July 2024.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 30 June 2024		As at 30 June 2023	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200	0.26%	56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000	0.28%	61,000	0.28%
Mrs. N. C. Madanayake	- Director	-	-	-	-
Dr. Bandula Perera	- Director	-	-	-	-
Mr. Deepal Sooriyaarachchi	- Director	-	-	-	-

10. Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 30 June 2024	4,399,696	20.2%	2509
Float adjusted market capitalization (Rs.)	1,340,807,356		

Company complies the requirement of Listing Rules of 7.14.1 -Minimum Public Holding as a Continuous Listing Requirement under the option No. 05 of 7.14.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public Shareholders
Option -5	Less than Rs.2.5Bn	20%	500

10. 20 Largest Shareholders of the Company as at 30 June 2024 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 People's Leasing & Finance PLC/Mr. Iresh Sridas	122,359	0.56%
4 Sirimalwatta S. V. W. B. K.	103,500	0.47%
5 Bank of Ceylon-No2 A/C (BOC PTF)	94,418	0.43%
6 Wijaya P. and Ramesh P.	88,685	0.41%
7 Ceylinco Shiram Capital Management Services	76,600	0.35%
8 Employees Trust Fund Board	69,848	0.32%
9 Srikantha B. W. R	69,506	0.32%
10 Goonesekera C. D. M. (Mrs.)	62,500	0.29%
11 Madanayake H. A. S.	61,000	0.28%
12 Madanayake U. G.	56,200	0.26%
13 Vasudevan S. and Vasudevan S.	51,500	0.24%
14 DFCC Bank PLC A/C No. 02	44,343	0.20%
15 Ratnasabapathy M. R.	41,347	0.19%
16 Leonard D.S.	41,203	0.19%
17 Wickramesooriya V.S.P & Wockramesooriya S.E	40,299	0.18%
18 Kannangara N. L. & De Livera S.S.	40,000	0.18%
19 Mohideen M. M.	37,002	0.17%
20 Sumathipala U. W. J. P. A.	35,200	0.16%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability, incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicable.com Website : www.kelanicable.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mrs. N. C. Madanayake Dr. Bandula Perera Mr. Deepal Sooriyaarachchi Mr. U. Kanagasabai
Company secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC Seylan Bank PLC